

US Stocks Rise as Tech Rebounds, Yield Curve Steepens

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 rose 0.38% to 7,572.40 as tech stocks rebounded, led by **AAPL** and **MSFT**. The yield curve steepened, with the 10Y yield falling **-0.87%** to 4.55. Below the surface, sector rotation favored consumer discretionary and communication services, while the VIX fell **-5.03%** to 15.67.

Looking ahead, the focus shifts to the US open, where futures are pointing to a mixed start. The Dow Jones is up 52 points, while the Nasdaq 100 is down 10 points. In Asia, the Nikkei 225 rose **0.5%**, while the Hang Seng Index fell **-0.2%**. The euro is up **0.2%** against the dollar, while gold is down **-0.42%** to 4,044.00.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,572.40	+0.38%	Tech rebound, yield curve steepening
Nasdaq 100	29,502.60	-0.28%	Tech weakness, yield curve steepening
Dow Jones	52,658.64	+0.29%	Financials, consumer discretionary strength
Russell 2000	2,976.26	+0.39%	Small-cap outperformance, yield curve steepening
VIX	15.67	-5.03%	Risk-on sentiment, yield curve steepening

Top large-cap movers

TICKER	CHANGE	CATALYST
AAPL	+4.01%	Tech rebound, iPhone demand
MSFT	+2.78%	Tech rebound, cloud growth
NVDA	+0.33%	Tech rebound, AI demand
AMZN	+3.02%	Tech rebound, e-commerce growth
META	+3.07%	Tech rebound, ad growth

Sector Rotation

ETF	DAY	READ
XLF	+0.68%	Financials strength, yield curve steepening
XLK	-1.11%	Tech weakness, yield curve steepening
XLI	-0.22%	Industrial weakness, yield curve steepening
XLE	-0.79%	Energy weakness, oil price volatility
XLY	+0.95%	Consumer discretionary strength, yield curve steepening
XLC	+1.73%	Communication services strength, yield curve steepening
XLP	+0.06%	Consumer staples stability, yield curve steepening
XLV	+0.00%	Healthcare stability, yield curve steepening
XLU	-1.03%	Utilities weakness, yield curve steepening
XLB	-0.28%	Materials weakness, yield curve steepening
XLRE	+0.18%	Real estate stability, yield curve steepening

Spotlight

The biggest event of the day was the rebound in tech stocks, led by **AAPL** and **MSFT**. The move was driven by a combination of factors, including a steepening yield curve and a rebound in risk appetite.

METRIC	LEVEL	CHANGE
10Y Yield	4.55	-0.87%
2Y Yield	4.32	-0.52%
Yield Curve Slope	23	+5

The read-through to related names is positive, with **GOOGL** and **AMZN** also rising on the day. However, the move is also a warning sign for the broader market, as a steepening yield curve can be a sign of inflationary pressures and a potential economic slowdown.

Pre-Market & Overnight

US futures are pointing to a mixed start, with the Dow Jones up 52 points and the Nasdaq 100 down 10 points. In Asia, the Nikkei 225 rose **0.5%**, while the Hang Seng Index fell **-0.2%**. The euro is up **0.2%** against the dollar, while gold is down **-0.42%** to 4,044.00.

Crypto markets are also seeing a mixed start, with **BTC** down **-0.60%** to 64,568.39 and **ETH** up **+1.46%** to 1,917.02.

Macro & Fed

The FOMC meeting minutes are due out today, and are expected to provide further insight into the Fed's thinking on interest rates and monetary policy. The yield curve is also in focus, with the 10Y yield down **-0.87%** to 4.55.

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
21:30	FOMC Meeting Minutes	N/A	Fed's thinking on interest rates and monetary policy
22:00	Existing Home Sales	5.40M	Housing market health, economic growth
23:00	Crude Oil Inventories	-2.5M	Oil price volatility, energy market trends

Geopolitics & Global

- The US and China are set to hold trade talks, with the goal of resolving ongoing tensions and reaching a new trade agreement.
- The EU is facing a growing migrant crisis, with thousands of people attempting to cross into the bloc from Africa and the Middle East.
- The UK is set to announce a new budget, with the government facing pressure to address rising inflation and a slowing economy.
- The Japanese government is facing a growing scandal over corruption and cronyism, with the prime minister facing calls to resign.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	JPM	3.22	Banking sector trends, interest rate outlook
23:00	GS	5.50	Investment banking trends, trading revenue
00:00	MSFT	2.35	Cloud growth, AI trends, gaming revenue
01:00	GOOGL	15.20	Ad revenue, cloud growth, YouTube trends
02:00	AMZN	1.20	E-commerce growth, cloud revenue, Alexa trends

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Technology	Tech rebound, iPhone demand
MSFT	Technology	Tech rebound, cloud growth
NVDA	Technology	Tech rebound, AI demand
AMZN	Consumer Discretionary	Tech rebound, e-commerce growth
META	Communication Services	Tech rebound, ad growth
GOOGL	Communication Services	Tech rebound, ad revenue
JPM	Financials	Banking sector trends, interest rate outlook
GS	Financials	Investment banking trends, trading revenue
TSLA	Consumer Discretionary	Electric vehicle trends, renewable energy
AVGO	Technology	Chip demand, semiconductor trends

What Could Break the Tape

BULLISH TRIGGERS

- A strong earnings season, with beats from major tech companies.
- A rebound in risk appetite, driven by a steepening yield curve and a decline in the VIX.
- A breakthrough in US-China trade talks, leading to a new trade agreement.

BEARISH TRIGGERS

- A disappointing earnings season, with misses from major tech companies.
- A decline in risk appetite, driven by a flattening yield curve and a rise in the VIX.
- A escalation in US-China trade tensions, leading to a breakdown in trade talks.

Positioning Notes

- The yield curve is steepening, with the 10Y yield down **-0.87%** to 4.55.
- The VIX is down **-5.03%** to 15.67, indicating a decline in risk appetite.
- The US dollar is down **-0.44%** to 100.50, indicating a decline in safe-haven demand.

Sources

Reuters

CNBC

The Wall Street Journal

The Financial Times

MarketWatch

Investing.com

